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KSE-100 V
167,441.90
▼ 0.68% Thu ·
-1,138.50 pts

S&P 500 V
▼ **0.47%**
Nasdaq -1.25% ·
Dow +0.10%

US 10Y / 2Y V
5.23 / 4.77
hawkish hold ·
~46bp spread

BRENT / WTI V
\$104.28 / \$91.49
+4.0% / +3.6% ·
Hormuz tanker
attacks

GOLD V
\$4,128
+0.45% · silver
\$59.05 (-1.0%)

USD/PKR V
277.01
interbank ·
+Re0.01, broadly
steady

01 Five Things You Need To Know To Start Your Day

KSE-100 RETREATS FROM RECORD HIGHS ON PROFIT-TAKING

The **KSE-100** shed **1,138.50 points (-0.68%)** to close at **167,441.90** on Thursday, reversing from an intraday high of 169,486.60 as banking and fertiliser heavyweights led late selling. Traded volume fell to roughly 152.07 million shares worth Rs17.72 billion (from 244.16 million shares/Rs22.37 billion on Wednesday), with decliners thumping advancers 81 to 18 (1 unchanged) among index constituents. **United Bank (-152.76 index points)**, **Fauji Fertilizer (-85.51)**, **Systems Limited (-54.28)**, **Engro Fertilizers (-54.06)** and **Pakistan Oilfields (-47.84)** capped the index, while **Pakistan State Oil (+32.84)**, Lotte Chemical (+13.54) and Abbott Laboratories (+7.18) were the lone bright spots as refiners rode the crude spike. [Business Recorder](#) and [Pakera](#) confirm the levels. Sentiment: **sharp pullback despite an IMF relief headline.**

PAKISTAN, IMF REACH STAFF-LEVEL DEAL, UNLOCKING \$1.2BN

The **IMF** and Islamabad reached a **staff-level agreement** on 7 October completing the 2026 Article IV consultation alongside the **fourth EFF review and third RSF review**, clearing the way for roughly **\$1.2 billion** (about \$1.0bn/SDR 760mn under the EFF and \$210mn/SDR 154mn under the RSF) once the Executive Board signs off. The Fund's mission, led by Iva Petrova, held talks in Karachi and Islamabad from 23 September to 7 October, and continues to press for **exchange-rate flexibility** as a shock absorber even as the rupee held broadly steady at 277.01 interbank. [ProPakistani](#) and the **IMF** confirm the terms. Sentiment: **policy win, tranche release still pending board approval.**

CRUDE SPIKES ON HORMUZ TANKER ATTACKS, HITS US TECH

Brent rose **4.0%** to settle at **\$104.28** and **WTI** gained **3.6%** to **\$91.49** on Thursday after Iran escalated attacks on tankers transiting the **Strait of Hormuz**, with a Gulf of Mexico storm threat adding a secondary squeeze; prices eased off session highs after President Trump said Washington would not strike Iran before the November midterms. The inflation scare helped drag the **Nasdaq down 1.25% to 27,193.34** and the **S&P 500 down 0.47% to 7,765.36**, while the **Dow eked out a 0.10% gain to 51,231.64** as energy names offset tech weakness; a Financial Times report trimming OpenAI's revenue estimate added separate pressure on semiconductors. [CNBC](#) and [Yahoo Finance](#) confirm the levels. Sentiment: **geopolitical supply risk revives inflation jitters.**

FED KEEPS HIKE DOOR OPEN AS WALLER FLAGS MORE TIGHTENING

Fed Governor Christopher Waller said **additional rate hikes will probably be necessary**, though the timing remains flexible, keeping alive the hawkish path set by September's first hike since 2023 to 3.75–4.00%. Futures markets price roughly **81–83% odds of a hold** at the 28 October FOMC meeting but still assign **better-than-75% odds of a hike** at the 9 December meeting, consistent with 16 of 18 FOMC members' dot-plot projections for at least one more 2026 move; the **10-year Treasury yield sat near 5.23%** and the **2-year near 4.77%**. [CNBC](#) and [Schwab](#) confirm the stance. Sentiment: **higher-for-longer narrative intact, oil the new catalyst**.

GULF NON-OIL ENGINES ACCELERATE AS PIF UNVEILS 2026–30 PLAN

Gulf diversification kept outrunning the headlines: the **S&P Global UAE PMI held at 55.3** in September on the fastest output growth since February, while **Saudi Arabia's non-oil PMI jumped to 55.3 from 53.8** in August, a seven-month high, even as business expectations softened on regional-tension risk. Separately, Saudi Arabia's **PIF** approved its **2026–2030 strategy**, directing roughly **80% of capital into domestic investments** (scaled back from a 30% foreign-allocation peak to 20%) across three portfolios anchored by tourism, NEOM and advanced manufacturing. [AGBI](#) and [PIF](#) confirm the details. Sentiment: **diversification momentum offsets oil-driven jitters**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's tape gave back Wednesday's gains: the **KSE-100** fell 1,138.50 points (–0.68%) Thursday to close at **167,441.90**, reversing from an intraday high of 169,486.60 as profit-taking hit banks and fertilisers — **United Bank, Fauji Fertilizer, Systems Limited and Engro Fertilizers** were the heaviest drags, while **Pakistan State Oil** rode the crude spike to a rare gain. Volume thinned to 152.07 million shares (Rs17.72bn), with decliners beating advancers 81 to 18. The session came even as Islamabad and the **IMF** reached a staff-level agreement on the fourth EFF and third RSF reviews on 7 October, unlocking roughly \$1.2 billion pending Executive Board approval, while the rupee held broadly steady at 277.01 interbank, September CPI eased to 10.3% y/y and the SBP's 11.5% policy rate stayed on hold. [Business Recorder](#) and [ProPakistani](#).

B. GCC & Middle East

Gulf fundamentals strengthened on two fronts Thursday. Oil jumped as Iran escalated attacks on tankers in the **Strait of Hormuz** — **Brent settled up 4.0% at \$104.28** and **WTI up 3.6% at \$91.49** — a tailwind for Gulf budgets even as shippers and insurers price a heavier risk premium. Non-oil momentum held firm regardless: the **UAE's S&P Global PMI stayed at 55.3** in September on the fastest output growth since February, and **Saudi Arabia's non-oil PMI rose to a seven-month high of 55.3** from 53.8 in August. Saudi's **PIF** approved its **2026–2030 strategy**, tilting 80% of capital toward domestic sectors — tourism, NEOM, advanced manufacturing — as Vision 2030's diversification drive outpaces the oil-price swings. [CNBC](#) and [ICIS](#).

C. Global Intelligence

Wall Street wobbled Thursday as the Hormuz-driven oil spike revived inflation fears and a Financial Times report trimming OpenAI's revenue estimate hit chipmakers: the **S&P 500 fell 0.47%** to 7,765.36 and the **Nasdaq tumbled 1.25%** to 27,193.34, while the **Dow eked out a 0.10% gain** to 51,231.64 on energy-stock strength. Treasury yields held near multi-decade highs (10-year ~5.23%, 2-year ~4.77%) after Fed Governor Christopher Waller said further hikes are "**probably necessary**," with futures pricing roughly 81–83% odds of an October hold but better-than-75% odds of a December hike, consistent with 16 of 18 FOMC members' dot-plot projections. Washington's funding risk is parked for now — the continuing resolution signed 2 September keeps the government funded through 11 December. [Yahoo Finance](#) and [CNBC](#).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	IMF–Pakistan staff-level agreement on the fourth EFF review and third RSF review, reached 7 October, releasing roughly \$1.2bn pending Executive Board approval.	Banks, FX Reserves, External Sector, Sovereign Bonds	Wins: banks and FX reserves once the Executive Board clears the tranche, and sovereign bondholders on reduced near-term default risk. Losses: importers and consumers if the IMF's push for continued exchange-rate flexibility weighs on the rupee, and rate-sensitive borrowers given the SBP's 11.5% hold.
GCC — UAE/ Saudi Arabia	UAE's 1 October VAT-refund and tax-evasion compliance rules alongside Saudi Arabia's PIF 2026–2030 strategy reallocating capital toward domestic sectors.	Banks, Corporates/SMEs, Tourism, Sovereign Investment	Wins: large compliant corporates and banks absorbing new data-driven audits, and PIF-backed domestic tourism, NEOM and manufacturing assets. Losses: SMEs facing heavier VAT-chain verification costs, and foreign asset managers as PIF trims its foreign-allocation ceiling to 20% from a 30% peak.
Global	US continuing resolution funding the government through 11 December, alongside the Fed's hawkish dot-plot signalling a likely December hike.	Rate-Sensitive Equities, Treasuries, Government Contractors	Wins: government contractors and bond-market stability from near-term funding certainty. Losses: growth and tech equities facing a higher-for-longer rate path, with a fresh shutdown fight looming once the stopgap expires in December.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST. 166,500 first floor; deeper support at 165,000	PIVOT EST. 167,442 Thursday's close	RESISTANCE EST. 168,580 Wednesday's close; then Thursday's intraday high of 169,490
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Thursday's reversal — a 2,045-point swing from intraday high to close — argues for a defensive bias into Friday: banks and fertilisers absorbed the bulk of the profit-taking, and with volume thinning to Rs17.72bn, we'd want to see participation rebuild before trusting a bounce back above 168,580. The IMF staff-level agreement is a genuine medium-term positive once the Executive Board ratifies it, but near-term price action is being set by the Hormuz-driven oil spike and a Fed that still leans toward a December hike. **Our stance: hold core positions, avoid chasing strength into resistance, and watch Brent/WTI and Hormuz headlines as the swing factor for both the rupee and risk appetite.** All levels are indicative desk estimates, not recommendations.

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